The Board of Directors of NIC Group PLC is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 30th June, 2019.

I STATEMENT OF FINANCIAL POSITION	BANK				COMPANY				GROUP			
	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000
A ASSETS												
1 Cash (both Local & Foreign)	1,593,052	1,422,824	1,868,958	1,510,717	-	-	-	-	2,111,532	1,926,796	2,246,650	1,866,447
2 Balances due from Central Banks	11,580,122	13,734,971	8,675,288	8,755,462	-	-	-	-	12,423,990	14,675,243	9,726,252	9,606,169
3 Kenyan Government securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-	-
4 Financial assets at fair value through profit & loss	-	-	-	-	-	-	-	-	349,795	355,424	691,915	760,891
5 **Investment Securities:**	-	-	-	-	-	-	-	-	-	-	-	-
a) Held to Maturity	-	-	-	-	-	-	-	-	-	-	-	-
a. Kenya Government securities	20,497,752	20,312,864	22,742,049	19,647,208	-	-	-	-	20,497,752	20,312,864	22,742,049	19,647,208
b. Other securities	-	-	-	-	-	-	-	-	2,233,727	2,054,503	1,927,530	1,465,863
b) Available for sale:	-	-	-	-	-	-	-	-	-	-	-	-
a. Kenya Government securities	36,792,273	37,271,381	35,304,859	33,582,849	-	-	-	-	36,792,273	37,271,381	35,304,859	33,582,849
b. Other securities	-	-	-	-	-	-	-	-	752,856	757,436	1,190,680	1,040,757
6 Deposits and balances due from local banking institutions	204,594	525,732	-	667,935	-	-	-	-	207,294	528,086	2,288	674,728
7 Deposits and balances due from banking institutions abroad	6,983,615	3,844,687	4,449,858	6,851,703	-	-	-	-	8,146,305	5,019,550	5,250,774	8,154,962
8 Tax recoverable	51,586	474,910	919,156	154,540	12,911	62,054	19,232	47,141	312,566	690,415	1,075,176	351,970
9 Loans and advances to customers (net)	110,896,178	110,625,115	110,975,823	108,245,861	-	-	-	-	118,503,822	118,324,269	118,071,672	114,972,494
10 Balances due from banking institutions in the group	1,987,587	2,171,061	1,697,318	1,253,043	463,254	1,362,791	337,455	429,132	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	29,618,705	29,568,705	29,568,705	29,468,705	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	1,167,129	1,212,428	1,243,106	964,688	-	-	-	-	1,291,101	1,357,385	1,369,575	1,094,675
16 Prepaid lease rentals	6,562	6,604	6,625	6,687	-	-	-	-	522,562	522,604	522,625	522,687
17 Intangible assets	1,345,774	1,318,703	1,307,090	1,156,948	-	-	-	-	1,863,794	1,836,974	1,829,118	1,666,647
18 Deferred tax asset	4,032,275	4,032,275	4,032,275	3,125,493	-	-	-	-	4,360,548	4,342,292	4,395,617	3,394,524
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-
20 Other assets	3,019,448	3,085,628	1,832,229	1,670,258	250	375	500	32,373	3,769,689	3,654,927	2,152,774	2,147,793
21 TOTAL ASSETS	**200,157,947**	**200,039,183**	**195,054,634**	**187,593,392**	**30,095,120**	**30,993,925**	**29,925,892**	**29,977,351**	**214,139,606**	**213,630,149**	**208,499,554**	**200,950,664**
B LIABILITIES												
22 Balances due to Central Banks	-	-	-	-	-	-	-	-	-	-	-	-
23 Customer deposits	143,299,384	142,683,154	136,071,763	138,642,615	-	-	-	-	152,304,452	151,080,548	144,501,060	147,088,189
24 Deposits and balances due to local banking institutions	13,882	19,035	8,689,970	1,487,055	-	-	-	-	13,882	19,035	8,689,970	1,487,055
25 Deposits and balances due to foreign banking institutions	4,676,008	5,430,174	457,988	-	-	-	-	-	5,403,083	6,153,610	1,216,459	810,332
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	13,745,739	14,745,464	14,868,336	15,776,969	-	-	-	-	13,909,763	14,918,897	14,868,336	15,776,969
28 Balances due to banking institutions in the group	140,645	116,506	84,307	365,354	-	-	-	-	-	-	-	-
29 Tax payable	-	-	-	-	-	-	-	-	1,290	6,774	11,288	4,502
30 Dividends payable	-	-	-	-	41,019	41,393	42,986	64,904	41,019	41,393	42,986	64,904
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	5,016,063	5,245,743	3,765,674	3,770,039	48,416	52,769	64,299	35,908	4,771,117	4,103,910	3,384,322	3,499,079
34 TOTAL LIABILITIES	**166,891,721**	**168,240,076**	**163,938,038**	**160,042,032**	**89,435**	**94,162**	**107,285**	**100,812**	**176,444,606**	**176,324,167**	**172,714,421**	**168,731,030**
C SHAREHOLDERS' FUNDS												
35 Paid up / Assigned capital	15,000,000	15,000,000	15,000,000	15,000,000	3,519,701	3,519,701	3,519,701	3,519,701	3,519,701	3,519,701	3,519,701	3,519,701
36 Share Premium	9,446,004	9,446,004	9,446,004	9,446,004	2,373,994	2,373,994	2,373,994	2,373,994	2,373,994	2,373,994	2,373,994	2,373,994
37 Revaluation reserves	175,750	175,750	175,750	-	-	-	-	-	175,750	175,750	175,750	-
38 Retained earnings	6,732,091	5,656,411	4,702,188	1,987,679	24,111,990	24,126,143	23,044,987	23,982,844	30,890,513	29,936,118	28,897,206	26,385,544
39 Statutory loan reserves	-	-	-	688,919	-	-	-	-	46,678	43,252	63,462	648,826
40 Other reserves	1,912,381	1,520,942	892,654	428,758	-	-	-	-	401,928	59,114	(484,711)	(1,155,862)
41 Proposed dividends	-	-	900,000	-	-	879,925	879,925	-	-	879,925	879,925	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-	-	-
	33,266,226	**31,799,107**	**31,116,596**	**27,551,360**	**30,005,685**	**30,899,763**	**29,818,607**	**29,876,539**	**37,408,564**	**36,987,854**	**35,425,327**	**31,772,203**
43 Non-controlling interests	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	286,437	318,128	359,806	447,431
44 TOTAL SHAREHOLDERS' FUNDS	**33,266,226**	**31,799,107**	**31,116,596**	**27,551,360**	**30,005,685**	**30,899,763**	**29,818,607**	**29,876,539**	**37,695,001**	**37,305,982**	**35,785,133**	**32,219,634**
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**200,157,947**	**200,039,183**	**195,054,634**	**187,593,392**	**30,095,120**	**30,993,925**	**29,925,892**	**29,977,351**	**214,139,607**	**213,630,149**	**208,499,554**	**200,950,664**

II STATEMENT OF COMPREHENSIVE INCOME	BANK				COMPANY				GROUP			
	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000
1 INTEREST INCOME												
1.1 Loans and advances	5,726,433	2,774,352	11,450,437	5,597,183	-	-	-	-	6,163,730	2,989,114	12,339,213	6,207,996
1.2 Government securities	3,231,306	1,630,251	6,451,319	3,105,370	-	-	-	-	3,404,561	1,720,909	6,836,149	3,281,460
1.3 Deposits and placements with banking institutions	96,610	24,165	130,741	76,507	21,491	7,182	59,124	43,396	87,880	16,660	120,448	80,024
1.4 Other interest income	-	-	-	-	-	-	-	-	-	-	-	-
1.5 TOTAL INTEREST INCOME	**9,054,349**	**4,428,768**	**18,032,497**	**8,779,060**	**21,491**	**7,182**	**59,124**	**43,396**	**9,656,171**	**4,726,683**	**19,295,810**	**9,569,480**
2 INTEREST EXPENSE												
2.1 Customer deposits	3,252,112	1,574,608	6,936,818	3,564,300	-	-	-	-	3,366,334	1,631,246	7,183,476	3,685,487
2.2 Deposits and placement from banking institutions	84,315	38,430	177,293	91,481	-	-	-	-	113,786	53,341	217,781	104,763
2.3 Other interest expenses	632,732	317,839	1,293,930	634,493	-	-	-	-	645,104	324,168	1,314,848	645,809
2.4 TOTAL INTEREST EXPENSE	**3,969,159**	**1,930,877**	**8,408,041**	**4,290,274**	**-**	**-**	**-**	**-**	**4,125,224**	**2,008,755**	**8,716,105**	**4,436,059**
3 NET INTEREST INCOME	**5,085,190**	**2,497,891**	**9,624,456**	**4,488,786**	**21,491**	**7,182**	**59,124**	**43,396**	**5,530,947**	**2,717,928**	**10,579,705**	**5,133,421**
4 NON - INTEREST INCOME												
4.1 Fees and commissions on loans and advances	707,592	327,684	1,424,778	690,188	-	-	-	-	757,212	352,704	1,516,765	585,471
4.2 Other fees and commissions	481,777	226,826	902,629	453,534	-	-	-	-	524,239	246,480	990,074	495,834
4.3 Foreign exchange trading income	673,237	273,563	1,187,563	636,687	-	-	-	-	735,820	308,638	1,277,502	683,035
4.4 Dividend income	-	-	-	-	1,050,000	1,050,000	200,000	200,000	-	-	-	-
4.5 Other income	442,195	115,325	555,466	215,610	128,441	41,367	145,811	71,067	647,186	209,809	853,859	385,610
4.6 TOTAL NON-INTEREST INCOME	**2,304,801**	**943,398**	**4,070,436**	**1,996,019**	**1,178,441**	**1,091,367**	**345,811**	**271,067**	**2,664,457**	**1,117,631**	**4,638,200**	**2,149,950**
5 TOTAL OPERATING INCOME	**7,389,991**	**3,441,289**	**13,694,892**	**6,484,805**	**1,199,932**	**1,098,549**	**404,935**	**314,463**	**8,195,404**	**3,835,559**	**15,217,905**	**7,283,371**
6 OPERATING EXPENSES												
6.1 Loan loss provision	1,143,282	486,883	2,038,271	934,785	-	-	-	-	1,443,010	673,210	2,353,977	1,113,751
6.2 Staff costs	1,470,356	706,679	2,903,784	1,366,096	58,292	29,131	103,449	46,783	1,851,842	895,771	3,608,823	1,697,979
6.3 Directors' emoluments	29,864	15,022	59,305	29,385	52,759	25,623	97,183	55,689	133,703	67,045	226,159	122,117
6.4 Rental charges	168,037	84,374	257,136	125,236	772	386	1,543	-	208,728	104,258	390,404	190,476
6.5 Depreciation charge on property and equipment	127,050	63,853	222,573	102,217	-	-	-	-	149,626	74,933	279,910	131,022
6.6 Amortisation charges	125,887	59,856	165,948	75,845	-	-	-	-	143,949	67,796	194,007	88,663
6.7 Other operating expenses	1,170,439	532,123	2,065,825	941,989	13,820	7,119	29,754	14,375	1,304,004	616,754	2,341,760	1,091,599
6.8 TOTAL OPERATING EXPENSES	**4,234,915**	**1,948,790**	**7,712,842**	**3,575,553**	**125,643**	**62,259**	**231,929**	**116,847**	**5,234,862**	**2,499,767**	**9,395,040**	**4,435,607**
7 Profit before tax and exceptional items	3,155,076	1,492,499	5,982,050	2,909,252	1,074,289	1,036,290	173,006	197,616	2,960,542	1,335,792	5,822,865	2,847,764
8 Exceptional items	255,217	-	-	-	-	-	-	-	255,217	-	-	-
9 PROFIT AFTER EXCEPTIONAL ITEMS	**2,899,859**	**1,492,499**	**5,982,050**	**2,909,252**	**1,074,289**	**1,036,290**	**173,006**	**197,616**	**2,705,325**	**1,335,792**	**5,822,865**	**2,847,764**
10 Current tax	(869,956)	(447,749)	(1,526,564)	(872,775)	(7,287)	4,113	(31,812)	715	(802,173)	(404,522)	(1,547,161)	(861,091)
11 Deferred tax	-	-	(48,230)	-	-	-	-	-	-	-	(47,334)	-
12 PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	**2,029,903**	**1,044,750**	**4,407,256**	**2,036,477**	**1,067,002**	**1,040,403**	**141,194**	**198,331**	**1,903,152**	**931,270**	**4,228,370**	**1,986,673**
13 Other Comprehensive Income:												
13.1 Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	-	(118,670)	(56,930)	(150,283)	(297,645)
13.2 Fair value changes in available-for-sale financial assets	1,019,727	628,288	515,231	413,883	-	-	-	-	1,005,309	600,755	489,349	296,172
13.3 Revaluation surplus on property, plant and equipment	-	-	175,750	-	-	-	-	-	-	-	175,750	-
13.4 Share of comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-
14 OTHER COMPREHENSIVE INCOME FOR THE PERIOD NET OF TAX	**1,019,727**	**628,288**	**690,981**	**413,883**	**-**	**-**	**-**	**-**	**886,639**	**543,825**	**514,816**	**(1,473)**
15 TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	**3,049,630**	**1,673,038**	**5,098,237**	**2,450,360**	**1,067,002**	**1,040,403**	**141,194**	**198,331**	**2,789,791**	**1,475,095**	**4,743,186**	**1,985,200**
	Shs	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**	**Shs**
EARNINGS PER SHARE- BASIC & DILUTED (Shs)	**135.33**	**69.65**	**293.82**	**135.77**	**1.52**	**1.48**	**0.20**	**0.28**	**2.81**	**1.38**	**6.06**	**2.82**
INTERIM DIVIDEND PER SHARE - DECLARED (Shs)	**16.70**	**-**	**-**	**-**	**0.25**	**-**	**-**	**-**	**0.25**	**-**	**-**	**-**
FINAL DIVIDEND PER SHARE - DECLARED (Shs)	**-**	**-**	**60.00**	**-**	**-**	**-**	**1.25**	**-**	**-**	**-**	**1.25**	**-**

III OTHER DISCLOSURES	BANK				COMPANY				GROUP			
	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000	30th June, 2019 Un-audited Shs '000	31st Mar, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000
1.NON-PERFORMING LOANS AND ADVANCES												
(a) Gross Non-performing loans and advances	16,404,564	16,342,129	15,830,063	15,626,414	-	-	-	-	18,144,099	17,430,025	16,840,373	16,157,764
(b) Less Interest in Suspense	2,845,713	2,548,630	2,096,327	1,580,812	-	-	-	-	2,957,354	2,630,243	2,166,420	1,605,040
(c)TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	**13,558,851**	**13,793,499**	**13,733,736**	**14,045,602**	-	-	-	-	**15,186,745**	**14,799,782**	**14,673,953**	**14,552,724**
(d) Less Loan Loss Provision	4,279,885	4,252,555	4,714,260	6,493,979	-	-	-	-	5,116,974	4,479,802	5,161,412	6,824,055
(e) NET NON-PERFORMING LOANS AND ADVANCES(c-d)	**9,278,966**	**9,540,944**	**9,019,476**	**7,551,623**	-	-	-	-	**10,069,771**	**10,319,980**	**9,512,541**	**7,728,669**
(f) Discounted Value of Securities	9,278,966	9,540,944	9,019,476	7,551,623	-	-	-	-	10,069,771	10,319,980	9,512,541	7,728,669
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-	-	-	-	-	-	-
2.INSIDER LOANS AND ADVANCES												
(a) Directors, shareholders and associates	1,472,800	1,231,023	1,012,452	906,360	-	-	-	-	1,565,325	1,304,240	1,086,362	939,381
(b) Employees	2,239,430	2,104,741	2,190,253	2,209,323	-	-	-	-	2,362,259	2,213,730	2,292,094	2,294,762
(c)TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	**3,712,231**	**3,335,764**	**3,202,705**	**3,115,683**	-	-	-	-	**3,927,584**	**3,517,970**	**3,378,456**	**3,234,143**
3.OFF-BALANCE SHEET ITEMS												
(a) Letters of credit, guarantees, acceptances	14,718,915	13,993,979	14,349,249	15,740,258	-	-	-	-	15,144,943	15,320,995	16,996,843	16,570,256
(b) Forwards, Swaps and options	12,052,253	7,335,940	6,656,906	9,473,424	-	-	-	-	12,052,253	7,335,940	6,656,906	9,473,424
(c) Other contingent liabilities	-	-	-	-	-	-	-	-	-	-	-	-
(d)TOTAL CONTINGENT LIABILITIES	**26,771,168**	**21,329,919**	**21,006,155**	**25,213,682**	-	-	-	-	**27,197,196**	**22,656,935**	**23,653,749**	**26,043,680**
4.CAPITAL STRENGTH												
(a) Core capital	29,147,186	28,505,770	28,030,736	24,831,497	-	-	-	-	35,055,347	34,558,304	33,907,805	31,019,969
(b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	-	-	-	-	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	**28,147,186**	**27,505,770**	**27,030,736**	**23,831,497**	-	-	-	-	**34,055,347**	**33,558,304**	**32,907,805**	**30,019,969**
(d) Supplementary Capital	2,425,465	2,809,986	2,826,247	4,605,568	-	-	-	-	2,472,143	2,853,238	2,889,709	4,565,475
(e) TOTAL CAPITAL (a+d)	**31,572,651**	**31,315,755**	**30,856,983**	**29,437,065**	-	-	-	-	**37,527,490**	**37,411,542**	**36,797,514**	**35,585,444**
(f)TOTAL RISK WEIGHTED ASSETS	**171,020,333**	**166,706,652**	**165,126,598**	**163,491,796**	-	-	-	-	**180,634,272**	**175,876,805**	**173,578,841**	**171,798,461**
(g) Core Capital / Total deposits liabilities	20.34%	19.98%	20.60%	17.89%	-	-	-	-	23.02%	22.87%	23.47%	21.09%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	-	-	-	-	8.00%	8.00%	8.00%	8.00%
(I) Excess (g-h)	**12.34%**	**11.98%**	**12.60%**	**9.89%**	-	-	-	-	**15.02%**	**14.87%**	**15.47%**	**13.09%**
(j) Core Capital / Total risk weighted assets	17.04%	17.10%	16.98%	15.19%	-	-	-	-	19.41%	19.65%	19.53%	18.06%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%	-	-	-	-	10.50%	10.50%	10.50%	10.50%
(l) Excess (j-k)	**6.54%**	**6.60%**	**6.48%**	**4.69%**	-	-	-	-	**8.91%**	**9.15%**	**9.03%**	**7.56%**
(m) Total Capital / Total risk weighted assets	18.46%	18.78%	18.69%	18.01%	-	-	-	-	20.78%	21.27%	21.20%	20.71%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	-	-	-	-	14.50%	14.50%	14.50%	14.50%
(o) Excess (m-n)	**3.96%**	**4.28%**	**4.19%**	**3.51%**	-	-	-	-	**6.28%**	**6.77%**	**6.70%**	**6.21%**
(p) Adjusted Core Capital / Total deposits liabilities*	21.90%	21.87%	22.32%	19.63%	-	-	-	-	24.47%	24.67%	23.44%	21.09%
(q) Adjusted Core Capital / Total risk weighted assets*	18.10%	18.42%	18.15%	16.42%	-	-	-	-	20.36%	20.87%	19.26%	17.81%
(r) Adjusted Total Capital / Total risk weighted assets*	19.49%	20.08%	19.83%	19.20%	-	-	-	-	21.94%	22.46%	20.91%	20.43%
5. LIQUIDITY												
(a) Liquidity Ratio	52.38%	51.82%	48.25%	50.71%	-	-	-	-	50.90%	50.38%	48.66%	48.75%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	-	-	-	-	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	**32.38%**	**31.82%**	**28.25%**	**30.71%**	-	-	-	-	**30.90%**	**30.38%**	**28.66%**	**28.75%**

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	Share Capital Shs '000	Share Premium Shs '000	Statutory and Other Reserves Shs '000	Revenue Reserves Shs '000	Proposed Dividends Shs '000	Total Shs '000
At 1st January 2019	**3.519.701**	**2.373.994**	**(245.500)**	**29.257.013**	**879.925**	**35.785.133**
Profit for the period	-	-	-	1,903,153	-	**1,903,153**
Other comprehensive income	-	-	869,856	16,784	-	**886,640**
2018 Final Dividends paid	-	-	-	-	(879,925)	**(879,925)**
Balance as at 30th June 2019	**3,519,701**	**2,373,994**	**624,356**	**31,176,950**	**-**	**37,695,001**

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS	30th June, 2019 Un-audited Shs '000	31st Dec, 2018 Audited Shs '000	30th June, 2018 Un-audited Shs '000
Cash flows generated from operating activities	9,429,428	8,978,277	14,729,660
Net cash used in investing activities	(1,085,143)	(4,317,327)	(1,325,897)
Net cash used in financing activities	(1,763,471)	(4,218,803)	(2,135,814)
Net increase in cash and cash equivalents	**6,580,814**	**442,147**	**11,267,949**
Cash and cash equivalents at 1st January	3,372,008	2,929,861	2,929,861
Cash and cash equivalents at the end of the period	**9,952,822**	**3,372,008**	**14,197,810**

MESSAGE FROM DIRECTORS

Interim Dividend

The Directors have approved payment of an interim dividend of Shs.0.25 for every ordinary share of Shs.5 held. The interim dividend will be payable to the shareholders in the company's register at the close of business on September 30, 2019 (the closing date for determination of entitlements) and will be paid on or immediately after October 15, 2019.

Proposed merger with Commercial Bank of Africa Limited

On 6 December 2018, NIC Group PLC (NIC) and Commercial Bank of Africa Limited (CBA) announced that their respective Boards of Directors had authorized the commencement of discussions regarding a potential merger of the two entities. On 31 January 2019 the NIC and CBA Boards of Directors approved the proposed merger and resolved to recommend to their respective shareholders a merger of the two entities. During the Annual General Meetings held on 16 April 2019 and 17 April 2019 for CBA and NIC respectively, the shareholders approved the merger of the two entities through a share exchange.
We are at an advanced stage of obtaining the requisite regulatory approvals. Up until the merger becomes effective, NIC and CBA will continue to operate and prepare financial reports independently.
We have so far incurred KES 255 million pre-merger costs relating to legal & other transaction advisory services and brand development, which are reported as an exceptional item.

The financial statements are extracts from the books of the institution.The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nicgroup.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

NIC Group PLC and NIC Bank Kenya PLC are regulated by the Central Bank of Kenya.

BY ORDER OF THE BOARD
L MURAGE
GROUP COMPANY SECRETARY